

Tentative Rulings
September 28, 2026
Department S-17
Judge Joseph Ortiz

Tentative Rulings for Department S-17 are posted on the court's website (<https://www.sb-court.org/divisions/civil/civil-tentative-rulings>) at 3:00 p.m. or at 7:00 p.m. the court day before the hearing. If no tentative ruling is posted at 3:00 p.m., please check again after 7:00 p.m.

Unless you wish to submit on the tentative ruling, you must appear for the hearing either in person, CourtCall (888-882-6878 or www.courtcall.com), or by ZOOM. Failure to appear is deemed a waiver of oral argument. If you wish to submit to the tentative, please call the Judicial Assistant at (909) 708-8715 in advance of the hearing. If all parties submit on a tentative ruling, it will become final. The tentative ruling may seek input on particular issues and direct appearance. If so directed, attendance at the hearing is mandatory. The party prevailing on a motion or other hearing shall serve written notice of the court's ruling unless all parties waive notice of the ruling.

ATTENTION: Since January 9, 2023, the court no longer provides an official Court Reporter to transcribe proceedings. Parties who wish to have a transcript must retain their own private reporter and must submit a "Stipulation and Order to Use Certified Shorthand Reporter." Parties who do not retain their own reporter have waived the right to one.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

16. *Sheen, Jr., et al, v. Sheen, et al.*, Case No. CIVSB2433310
Defendants' Demurrer to the First Amended Complaint
Defendants' Motion to Strike Portions of First Amended Complaint
9/28/26, 9:00 a.m., S-17

Tentative Rulings

As to the Demurrer: The Court would again **SUSTAIN** Defendant Everlast's demurrer as to the 1st cause with twenty days' leave to amend and **OVERRULE** as to the remainder.

As to the Motion to Strike: The Court would **GRANT** Defendant Guo's motion to strike as to Paragraph 97 and the Prayer at Paragraph 7, with twenty days' leave to amend. The Court would **DENY** as to the remainder, including the motion to strike the Prayer for "reasonable attorneys' fees" at Paragraph 8.

Case Summary

This is, in essence, a corporate mismanagement case. Plaintiff Thomas Sheen ("Thomas") has sued his brother Defendant Jonathan Sheen ("Jonathan") and various corporate holdings. Thomas alleges that the brothers' father set up and capitalized Defendant Evergreen. The father assigned 70 shares to Jonathan and 30 shares to Thomas. After the father's passing in 2020, Jonathan took control of Evergreen, and Thomas alleges Jonathan misrepresented Evergreen's financial status. Later, Thomas asserts that he discovered that Jonathan had been engaging in self-dealing and embezzlement, with the help of Defendant Guo. Thomas asserts that some of the funds have been diverted to Defendant Everlast, another business owned by Jonathan.

Plaintiff first filed suit on November 4, 2024. Plaintiff filed a First Amended Complaint (FAC) on December 12, 2025, alleging causes of action for (1) declaratory relief (as to Jonathan & Everlast); (2) breach of fiduciary duty (as to Jonathan & Guo); (3) conversion (as to Jonathan); (4) fraud and deceit (as to Jonathan); (5) accounting (as to Jonathan); and (6) whistleblower wrongful termination (as to Evergreen). This demurrer followed.

Analysis

Demurrer – Defendants demurrer to the first, second, third, fourth, and sixth causes of action largely on the argument that the pleadings are insufficient to constitute causes of action or are impermissibly uncertain, vague, ambiguous, and unintelligible.

First Cause (Conversion) – The FAC alleges that Everlast is a corporation formed by Jonathan and Guo, which may have been structured to operate to include manufacturing components that parallel or support the goods Evergreen produces. (§§11-12, 49, 60.) Funds embezzled by Jonathan were funneled to Everlast, including money reported as distribution to Thomas. (§§1, 61-64.) Plaintiff asserts that Jonathan did not have the right to produce or sell products developed by it, or modify, alter, or improve them, or divert funds or know-how to Everlast. Jonathan's conduct was, therefore, allegedly counter to his agreements, promises, declarations, and fiduciary duties. Jonathan contends that he has every right to produce and sell Evergreen's products, and any modifications, alterations, or improvements, and that he did not act contrary to any agreement, promise, declaration, or fiduciary duty. (§§87-88.)

Generally speaking, the above-referenced allegations plead a controversy between Plaintiff and Jonathan but no controversy with Evergreen. Although the general allegations pleaded that funds were improperly diverted to Everlast, the declaratory relief cause of action is not alleging continuing, actual controversy existing over the right of Everlast to accept such funds or on any business dealings related to the contended parallels of Everlast's business with Evergreen. Thus, the Court would sustain as to Everlast.

Second through Sixth Causes – Here, while arguably more could have been pleaded, the FAC generally sets forth sufficient allegations to support the remaining causes of action. The allegations include assertions of embezzlement and preclusion of shareholder rights. It further asserts that, without permission, Jonathan distributed money to himself, friends, and others, including his new venture Everlast. Thomas was assigned employee duties, despite his title as an officer and director. He was denied access to Evergreen's finances or management. Furthermore, due to Jonathan's focus on Everlast, he neglected his duties to Evergreen, including abandoning the duty to oversee the warehouse, ensuring a healthy amount of inventory is stocked, and destroying brand perception. The FAC further alleges that Guo helped facilitate Everlast's interest over Evergreen, participated in the self-dealing transactions, and promoted the financial decisions. Guo and Jonathan formed Everlast and directly engaged in getting its operations started, including using Evergreen's money to pay for raw materials. (¶¶7, 49, 60, 64, 95.)

The FAC alleges that between November 2020 and April 2024, Jonathan misrepresented that Evergreen was in financial peril. He falsely communicated that Evergreen was undercapitalized and failed to make a profit. However, the truth was that the founder – their father – provided sufficient capital for Evergreen from other businesses that he liquidated. Moreover, Jonathan is alleged to have concealed from Thomas that he held an officer and director position. Instead, when Thomas asked questions, Jonathan would reprimand him for not trusting him and discourage his active participation in Evergreen. Jonathan further misrepresented to Thomas that it was necessary for both of them to forgo health insurance to save money. Yet only Thomas' insurance was canceled. Finally, Jonathan concealed his embezzlement and diversion of money to Everlast and third parties. (¶¶4, 37-38, 42, 47, 56-59, 62-64, 68, 110-112.) Jonathan's statements about Evergreen's financial condition were knowingly false. (¶¶113-114.) The statements that Evergreen was not doing well induced Thomas to work full time at a low salary to manage Evergreen's graphic design, marketing, website, Shopify account, and branding. It further induced him to go into debt, i.e., carry an \$8,000 Uber Eats charge and \$6,000 debt for purchasing household items that Jonathan promised to pay off, but never did. Also, due to the alleged claim Evergreen was not making money, Thomas moved in with Jonathan and provided "domestic labor." (¶¶41, 43-44, 109, 115-116.)

Thus, the Court would overrule the demurrer as to these remaining causes of action, as they appear sufficiently pleaded.

Motion to Strike – Here movants seek to strike references to malice, oppression, or fraud, along with the resulting request for punitive damages and the prayer for attorneys' fees. (Civ. Code, § 3294(a) & (c).) The "ultimate facts showing entitlement to [punitive damages] must be pled by a plaintiff." (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Facts of oppression, fraud, or malice must be alleged. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) They can be stated as the ultimate facts or conclusions of law provided that when read in context with the other alleged facts on the defendant's

conduct, they adequately pled the evil motive to support recovering punitive damages. (*Monge v. Superior Court* (1986) 176 Cal.App.3d 503, 510.)

Punitive Damages - Initially, as the fraud claim was found sufficiently pleaded, it would support recovery of punitive damages. Therefore, the Court would deny striking Paragraph 119 and the Prayer at Paragraph 7. Next, in construing Jonathan's liability for breach of fiduciary duties and conversion, it rests upon him engaging in conduct of self-dealing and fraud. In particular, the pleadings allege him making false representations to Thomas about Evergreen's financial status and then concealed the conversion of money belonging to Evergreen or Thomas. As his fraudulent conduct is adequately pleaded, it supports punitive damages against him. Therefore, the Court would deny striking Paragraphs 97 and 107 as to Jonathan.

However, Guo's liability for breach of fiduciary duty rests primarily on her aiding and abetting Jonathan in his self-dealing, embezzlement, and fraud. As detailed above, her conduct consisted of attempts to mediate a settlement between Thomas and Jonathan, which involved her allegedly using coercion and pressure on Thomas and engaging in the support of transferring money from Evergreen for use in starting and operating Everlast. Although the allegations may be sufficient to support breach of fiduciary duty, it is not sufficient to support that Guo engaged in malicious, oppressive, or fraudulent behavior. Thus, the Court would strike as to Guo.

Attorneys' Fees – Attorney fees are recoverable in litigation when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5(a)(10); *Trope v. Katz* (1995) 11 Cal.4th 214, 279.) Defendants request that the prayer for attorneys' fees (§18) be stricken because Plaintiffs fail to plead against whom. Yet, Defendants recognize that attorneys' fees could be recoverable under the 6th cause of action. The Court would deny.
